

NESTLE INDIA LTD.

EQUITY RESEARCH REPORT ON NESTLE INDIA LTD.

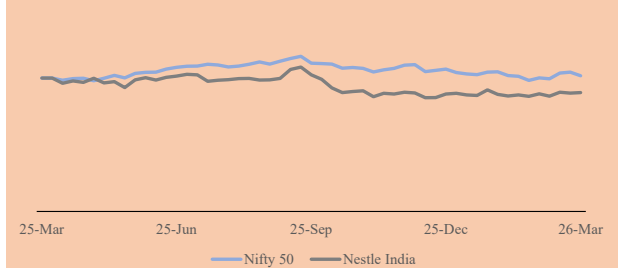
Based on market data from FY2023 - FY 2026

Recommended	Sell
CMP	1,191.30
Target Price	935.13
Potential Target	-21.50%

Stock Data (As on 31 March 2026)

Nifty	22,713.10
52 Week H/L (In Rs)	1498 / 1084
Market Cap (In Cr)	229,718
No. of Shares (In Cr)	192.83
Enterprise Value	228,821
NSE Code	NESTLEIND

Nestle and Nifty Performance



	3 Months	6 Months	12 Months
Absolute Return	11.16%	8.69%	-0.84%

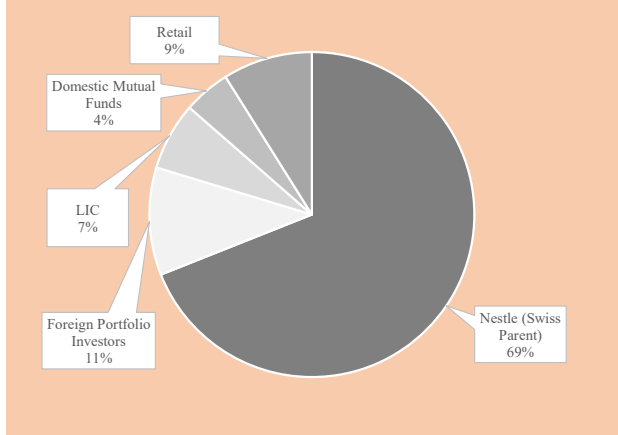
Shareholding Pattern as of Recent Times

Promoters	62.76%
FIIS	9.74%
DIIS	12.40%
Public / Retail	15.09%

Particulars	FY24	FY25	FY26
Revenue	24,394	20,202	23,155
EBITDA	5,843	4,772	5,307
EBITDA Margin	23.95%	23.62%	22.92%
Net Profit	3,796	3,072	3,427
EPS (In Rs)	19.68779172	15.93443643	17.76953793
P / E	64.45x	70.98x	67.04x
ROA	38.93%	26.89%	26.69%
ROCE	143.38%	92.95%	80.15%
ROE	32.73%	20.60%	18.18%
ROIC	98.44%	77.09%	68.88%

Peer Comparison	P / E	EV / Rev	EV / EBITDA
Nestle India	67.04x	9.88x	43.12x
Britannia Industries	39.84x	6.91x	37.65x
Zydus Wellness	71.59x	4.34x	33.71x
Bikaji Foods	58.43x	5.57x	37.80x
The Bombay Burmah	3.93x	0.54x	3.08x
Mrs Bectors	41.01x	2.81x	22.26x

Top Shareholders and Their Holdings



About Company:

Nestlé India Limited is one of India's leading fast-moving consumer goods (FMCG) companies and a subsidiary of Nestlé S.A., the world's largest food and beverage company headquartered in Vevey, Switzerland. Nestlé began its operations in India in 1912 and has since established itself as a trusted household name by offering a diverse portfolio of food and beverage products that cater to consumers across different age groups and income segments. The company combines global expertise in nutrition, health, and wellness with a deep understanding of local consumer preferences, enabling it to maintain a strong competitive position in the Indian packaged food industry. Its product portfolio spans multiple categories, including instant noodles, coffee, infant nutrition, dairy products, chocolates and confectionery, breakfast cereals, culinary products, and pet care. Its flagship brands include Maggi, Nescafé, KitKat, Cerelac, Lactogen, Milkmaid, Everyday, Munch, and Milkybar, many of which enjoy market-leading positions and high brand recognition across India. The company has built strong consumer loyalty through consistent product quality, continuous innovation, and an extensive distribution network. Nestlé India operates multiple state-of-the-art manufacturing facilities across the country and is supported by a robust supply chain that enables it to serve millions of retail outlets across urban and rural markets. Over the years, the company has invested significantly in expanding manufacturing capacity, strengthening digital capabilities, enhancing operational efficiency, and introducing innovative products that meet changing consumer preferences. The Indian packaged food industry continues to benefit from structural growth drivers such as rising disposable incomes, increasing urbanization, changing lifestyles, growing health consciousness, and rising demand for convenient ready-to-eat and ready-to-cook food products. Nestlé India is well positioned to capitalize on these long-term opportunities through premiumization, rural market expansion, product innovation, and continued investment in research and development. Financially, the company is recognized for its strong profitability, consistent revenue growth, healthy operating margins, robust cash flow generation, and superior returns on capital. Its efficient asset-light business model, disciplined capital allocation, and effective working capital management enable it to generate strong free cash flows while maintaining a shareholder-friendly dividend policy. Supported by the global expertise of its parent company, a portfolio of iconic brands, a resilient supply chain, and a strong distribution network, Nestlé India continues to strengthen its leadership position in the Indian FMCG industry. Going forward, the company remains focused on sustainable growth by expanding its manufacturing footprint, enhancing product innovation, increasing digital transformation initiatives, improving operational efficiency, and delivering high-quality nutrition, health, and wellness products. These strategic initiatives, combined with its strong financial fundamentals and trusted brand equity, position Nestlé India to create long-term value for consumers, shareholders, employees, and other stakeholders while benefiting from the continued growth of India's consumer goods market. Backed by its parent Nestlé S.A.'s global R&D capabilities and deep local market insights, Nestlé India continues to balance heritage brands with new-age innovation to stay ahead.

Executive Summary:

Historically, Nestlé India recorded steady growth in revenue from ₹16,897 crore in FY22 to ₹23,155 crore in FY26. Although reported growth rates were temporarily influenced by the transition from a calendar-year reporting cycle to a March year-end, the underlying business continued to perform strongly. Cost of goods sold remained relatively stable at approximately 52–57% of sales, enabling the company to maintain gross margins above 43% throughout the historical period. EBITDA margins consistently ranged between 22% and 24%, while EBIT margins remained around 20–22%, reflecting strong pricing power and efficient cost management. Profit after tax increased from ₹2,298 crore in FY22 to ₹3,427 crore in FY26, with earnings per share rising from ₹11.92 to ₹17.77. The company also maintained a conservative balance sheet, low financial leverage, strong interest coverage, healthy profitability ratios, and a generous dividend payout policy, highlighting its financial strength and shareholder-focused capital allocation.

The forecasting model evaluates three operating scenarios to capture varying market conditions. Under the base-case scenario, revenue is projected to grow steadily to ₹34,721 crore by FY31, supported by stable demand, continued product innovation, and operational efficiency. Earnings per share are expected to increase to ₹29.27 by FY31. The worst-case scenario assumes slower growth and margin pressure arising from higher input costs and weaker consumer demand; however, the company is still expected to deliver positive earnings growth, demonstrating the resilience of its business model. Conversely, the best-case scenario assumes favourable commodity prices, stronger volume growth, and improved operating leverage, resulting in revenue of ₹41,615 crore and earnings per share of ₹39.37 by FY31.

To estimate the company's intrinsic value, both Discounted Cash Flow (DCF) and Relative Valuation methodologies were employed. The DCF model uses a Weighted Average Cost of Capital (WACC) of 12.75% and a terminal growth rate of 5.38%, while the relative valuation compares Nestlé India with key FMCG peers, including Britannia Industries, Zydus Wellness, Bikaji Foods, Bombay Burmah Trading Corporation, and Mrs. Bectors Food Specialities, using EV/Revenue, EV/EBITDA, and Price-to-Earnings (P/E) multiples. Although the company continues to outperform many peers in terms of profitability, operational efficiency, and return ratios, the combined valuation indicates that the current market price exceeds its estimated intrinsic value. The blended valuation approach produces a target price implying an estimated 21.5% downside from the current market price of ₹1,191.30 per share.

The financial model concludes that Nestlé India remains an exceptionally strong business with market-leading brands, consistent profitability, robust cash generation, and a highly conservative balance sheet. Its long-term competitive advantages and financial fundamentals remain among the strongest within the Indian FMCG sector. However, the valuation analysis suggests that these strengths are already reflected in the current share price, leaving limited margin of safety for investors. Consequently, this report assigns a Sell recommendation based solely on valuation considerations rather than any deterioration in the company's underlying business performance. While the company continues to represent a high-quality long-term business, prospective investors may benefit from waiting for a more attractive entry price before initiating or increasing their investment. This recommendation should therefore be interpreted as a valuation-driven conclusion rather than a negative assessment of the company's fundamental prospects. Furthermore, investors should recognise that valuation and business quality are not always aligned. While Nestlé India continues to possess strong competitive advantages through its established brands, extensive distribution network, product innovation, and consistent cash generation, an attractive business does not necessarily translate into an attractive investment when purchased at a premium valuation. Future upside will depend not only on earnings growth but also on whether the current valuation remains justified by market view.

Milk Products and Nutrition -

This is Nestlé India's largest and most foundational segment, contributing 38% of total revenue and built on decades of trust in dairy and infant nutrition. It includes iconic brands like Milkmaid (condensed milk), Everyday (dairy whitener and ghee), and a portfolio of infant formula and baby foods under Nestlé's global nutrition science expertise. The segment also covers curd, yogurt, and health-focused dairy products such as Nesplus and A+ range. Given India's price-sensitive but volume-heavy dairy market, this segment benefits from strong rural and semi-urban penetration alongside urban premiumization trends toward fortified and functional nutrition products. It faces recurring input-cost volatility from milk and skimmed milk powder prices, which directly impacts margins. Regulatory oversight around infant nutrition labeling and marketing (given FSSAI and WHO code sensitivities) is a structural feature of this category. Long-term growth is anchored in rising health consciousness, increasing dairy consumption per capita, and Nestlé's continued innovation in fortified and clinical nutrition products, reinforcing its position as the single biggest revenue driver for the company.



Prepared Dishes and Cooking Aids -

Contributing 31% of total revenue, this segment is dominated by Maggi, arguably Nestlé India's single most recognizable brand, spanning instant noodles, pasta, ready-to-cook sauces, soups, and seasoning cubes. It played a defining role in shaping India's convenience-food culture and remains deeply embedded in urban and increasingly rural households. The category faced a well-documented regulatory setback in 2015 (the lead-content controversy), which briefly halted Maggi sales nationwide, though the brand recovered strongly and remains market-leading today. Growth drivers include rising dual-income households, time-constrained urban lifestyles, and increasing acceptance of packaged convenience food beyond metros. The segment also benefits from product diversification — healthier variants (atta noodles, less oil formulations) cater to health-conscious consumers. Competitive intensity is high, with players like ITC (Sunfeast Yippee) and Nissin contesting share. As the second-largest contributor to revenue, continued innovation in regional flavors and better-for-you formulations remains central to sustaining this segment's growth trajectory.



Confectionery -

Making up 17% of total revenue, Nestlé India's confectionery segment is built around globally recognized chocolate and candy brands including KitKat, Munch, Milkybar, and Bar-One, positioning the company as a strong challenger in India's chocolate market against Mondelez (Cadbury) and Ferrero. This category benefits from India's rising discretionary spending, gifting culture during festivals, and growing per-capita chocolate consumption, which remains well below global averages — signaling long runway for growth. Munch and KitKat in particular have strong mass-market affordability positioning (₹5-₹10 price points), driving volume-led penetration in smaller towns. The segment is seasonally influenced, with festive periods (Diwali, Rakhi, Valentine's Day) driving disproportionate sales spikes. Cocoa price volatility globally is a key margin risk, as India imports most of its cocoa requirements. Nestlé continues to invest in premiumization (dark chocolate variants) and innovative formats to defend and help to grow its share of this segment against aggressive competition.

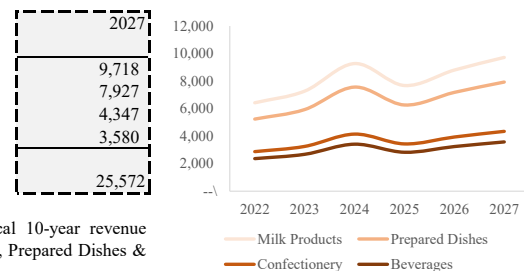


Powdered and Liquid Beverages -

The smallest of the four segments at 14% of total revenue, this category is anchored by Nescafé, India's leading instant coffee brand, alongside Nestea and other beverage offerings. It benefits from India's steadily rising coffee culture, particularly among younger, urban consumers shifting from traditional filter coffee and tea toward instant and specialty formats. Nescafé has diversified beyond classic instant coffee into premium sub-brands (Nescafé Gold, Cappuccino mixes, ready-to-drink variants) to capture the premiumization trend and compete with café culture (Starbucks, homegrown chains) reshaping consumption habits. Despite its smaller revenue share, it carries strategic importance given coffee's higher realizations and growing category penetration. Growth is supported by expanding out-of-home consumption, vending machine placements, and e-commerce/quick-commerce channel growth. Key risks include global coffee bean price volatility and intensifying competition from both instant coffee rivals and the broader specialty coffee and RTD beverage market disrupting traditional consumption patterns.



Particulars (In Cr.)	2022	2023	2024	2025	2026
Revenue from Milk Products	6,421	7,268	9,270	7,677	8,799
Revenue from Prepared D.	5,238	5,929	7,562	6,263	7,178
Revenue from Confectionery	2,872	3,251	4,147	3,434	3,936
Revenue from Beverages	2,366	2,678	3,415	2,828	3,242
Total Revenue	16,897	19,126	24,394	20,202	23,155



Revenue for FY2027 has been forecast assuming a 10.54% year-on-year growth, based on Nestlé India's historical 10-year revenue performance. Segment-wise revenue has been projected using historical contribution margins, with Milk Products (38%), Prepared Dishes & Cooking Aids (31%), Confectionery (17%), and Beverages/Coffee (14%) applied to the forecasted total revenue.

Conclusion: Nestlé India continues to demonstrate a resilient and well-diversified business model, supported by a portfolio of market-leading brands, strong consumer loyalty, and a consistent history of financial performance. Based on the company's historical revenue trend over the last ten years, FY2027 revenue has been forecast at ₹25,572 crore, representing a 10.54% year-on-year growth from ₹23,155 crore in FY2026. This growth assumption has been derived using historical financial performance to ensure that future projections remain realistic, balanced, and aligned with the company's long-term operating trends. Segment-wise revenue has been forecast using historical contribution margins, resulting in Milk Products contributing 38% (₹9,718 crore), Prepared Dishes & Cooking Aids 31% (₹7,927 crore), Confectionery 17% (₹4,347 crore), and Powdered & Liquid Beverages 14% (₹3,580 crore) of total revenue. This diversified revenue composition reflects the strength of Nestlé India's product portfolio and reduces dependence on any single business segment, thereby enhancing revenue stability and reducing concentration risk. The company's extensive distribution network, premium brand positioning, pricing power, and continuous investment in product innovation are expected to support sustainable long-term growth despite an evolving competitive landscape. Furthermore, favourable macroeconomic factors such as rising disposable incomes, increasing urbanization, premiumization of packaged food products, growing health awareness, expanding rural penetration, and the rapid adoption of e-commerce and quick-commerce platforms are likely to strengthen consumer demand across all major categories. Although the company remains exposed to risks including volatility in milk, coffee, cocoa, edible oil, and packaging material prices, regulatory developments, foreign exchange movements, and increasing competition from domestic and multinational FMCG companies, its strong operational efficiency, disciplined cost management, and ability to implement selective price increases provide resilience during periods of economic uncertainty. Overall, the financial projections indicate stable revenue growth, healthy profitability, and strong cash flow generation, reflecting the quality of Nestlé India's underlying business fundamentals. The assumptions adopted throughout the forecasting process are conservative, data-driven, and consistent with historical operating performance, thereby providing a robust foundation for the subsequent ratio analysis, discounted cash flow valuation, relative valuation using P/E and EV/EBITDA multiples, sensitivity analysis, football field analysis, and final investment recommendation. Based on the projected financial performance and the company's ability to consistently generate sustainable growth across its core product segments, Nestlé India remains fundamentally strong and well-positioned to create long-term shareholder value while maintaining its leadership position within the Indian FMCG industry.

Current Peer Comparison of Nestle Around Globe

Company	Headquarters	Share Price	Outstanding S.	Market Cap.	Net Debt	EV	Revenue	Net Income	EBITDA
Nestle S.A	Switzerland	8017.00	253.00	2,028,301	499,950	2,528,251	904,860	107,910	163,350
Pepsi Co	USA	13209.00	137.00	1,809,633	407,160	2,216,793	816,930	83,520	160,950
AB Foods	UK	2398.00	74.00	177,452	20,900	198,352	243,000	12,600	26,500
Unilever	UK	5492.00	243.00	1,334,556	213,750	1,548,306	479,750	95,000	103,550
Coca - Cola	USA	6262.00	430.00	2,692,660	291,450	2,984,110	416,730	92,220	137,460
Mondelez International	USA	5755.00	128.00	736,640	168,780	905,420	334,950	41,760	74,820
Danone	France	6977.00	64.00	446,528	120,650	567,178	273,600	22,800	52,250
Kraft Heinz	USA	2489.00	120.00	298,680	173,130	471,810	224,460	23,490	57,420

Company	EV / Rev	EV / EBITDA	P / E
Nestle S.A	2.79x	15.48x	18.80x
Pepsi Co	2.71x	13.77x	21.67x
Procter and Gamble	0.82x	7.48x	14.08x
Unilever	3.23x	14.95x	14.05x
Coca - Cola	7.16x	21.71x	29.20x
Mondelez International	2.70x	12.10x	17.64x
Danone	2.07x	10.86x	19.58x
Kraft Heinz	2.10x	8.22x	12.72x
Max	7.16x	21.71x	29.20x
Mean	2.95x	13.07x	18.47x
Median	2.71x	12.94x	18.22x
Min	0.82x	7.48x	12.72x

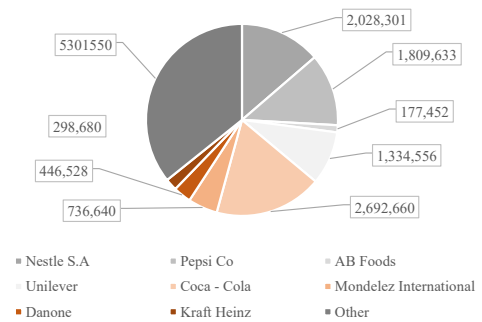
Implied EV	2,450,684	2,113,299	2,465,858
Net Debt	499,950	499,950	499,950
Implied Market Value	1,950,734	1,613,349	1,965,908
Shares Outstanding	253.00	253.00	253.00

Implied Value per Share	7710.41	6376.87	7770.39
-------------------------	---------	---------	---------

Conclusion	Overvalued	Overvalued	Overvalued
------------	------------	------------	------------

Approximate Market Cap Share in Global Terms

Total Market Cap Share	14826000
------------------------	----------



Nestlé S.A. holds a leading position in the global FMCG industry, backed by strong scale and brand strength. Valuation indicates overvaluation on EV-based multiples, the P/E multiple also suggests overvaluation against global FMCG industry standards.

Current Peer Comparison of Nestle India within India

Company	Head Office	Share Price	Outstanding S.	Market Cap.	Net Debt	EV	Revenue	Net Income	EBITDA
Nestle India	Haryana	1,191.30	192.83	229,718	-897	228,821	23,155	3,427	5,307
Britannia Industries	Karnataka	5,442.00	24.08	131,043	1,259	132,302	19,152	3,289	3,514
Zydus Wellness	Gujarat	443.05	31.83	14,102	3,092	17,194	3,961	197	510
Bikaji Foods	Rajasthan	627.00	25.07	15,719	-31	15,688	2,817	269	415
The Bombay Burmah	Maharashtra	1,410.70	6.97	9,833	747	10,580	19,539	2,499	3,432
Mrs Bectors	Haryana	189.17	30.57	5,783	-40	5,743	2,044	141	258

Company	EV / Rev	EV / EBITDA	Price to E.
Nestle India	9.88x	43.12x	67.04x
Britannia Industries	6.91x	37.65x	39.84x
Zydus Wellness	4.34x	33.71x	71.59x
Bikaji Foods	5.57x	37.80x	58.43x
The Bombay Burmah	0.54x	3.08x	3.93x
Mrs Bectors	2.81x	22.26x	41.01x
Max	9.88x	43.12x	71.59x
Mean	5.01x	29.60x	46.98x
Median	4.95x	35.68x	49.72x
Min	0.54x	3.08x	3.93x

Implied EV	114,732	189,365	169,483
Net Debt	-897	-897	-897
Implied Market Value	115,629	190,262	170,380
Shares Outstanding	192.83	192.83	192.83

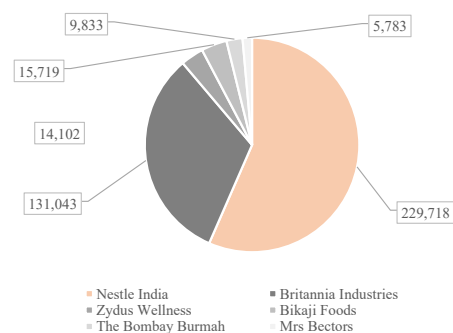
Implied Value per Share	600	987	884
-------------------------	-----	-----	-----

Conclusion	Overvalued	Overvalued	Overvalued
------------	------------	------------	------------

Market Share of Nestle Across Segments

Segments	Nestle India	Leaders	Share
Milk Products	5.00%	N/A	N/A
Prepared Dishes	60.00%	Nestle India	60.00%
Confectionery	20.00%	Mondelez	65.00%
Powdered Beverages	12.00%	N/A	N/A

Approximate Market Cap Share in India



The competitive positioning analysis demonstrates that Nestlé India remains one of the strongest companies in the Indian FMCG sector, supported by its market-leading brands, robust financial performance, and efficient operating model. The company continues to outperform many peers in terms of profitability, return ratios, and financial stability while maintaining a strong competitive presence across key product categories. However, the relative valuation analysis, using EV/Revenue, EV/EBITDA, and Price-to-Earnings multiples, indicates that the stock is currently trading at a premium compared with both domestic and global peer groups. Consequently, the market appears to have already priced in much of the company's future growth potential. Therefore, despite its strong fundamentals and long-term prospects, the current valuation supports a Sell recommendation from an investment perspective.

Nestle S.A., Switzerland - Global Presense

About Nestle

Founded in 1866 in Vevey, Switzerland, Nestle is the world's largest food and beverage company.

Headquarters: Vevey, Switzerland

Their Vision

To be leading nutrition, health and wellness company, creating shared value for generations to come



Key Highlights



Present in 186 countries around world



Over 340 manufacturing facilities



approximately 275000 employees



Products sold in millions of outlets globally

Nestle's Global Reach

North America	South America	Europe	Middle east and Africa	Asia	Portfolio
Strong presense in USA, Canada and mexico	Operations in all major Countries	Deep rooted presense across western, central and eastern europe	Growing presense in Middle east and Africa	Strong Growth Across Asia	Their products are available in 10000 + brands across various catagories
Leading position in coffee pet care and confectionery	Wide range of food, beverages and nutrition products	Strong leadership in coffee, chocolates and food	Activity in sub - saharan Africa with a side product portfolio	Market leader in countries like China, India, Australia	

Nestle is committed to long term value creation through innovation, sustainability and parterships, while making a positive impact on people and the planet.



Headquartered in Vevey, Switzerland

Nestle S.A., Switzerland - Global Presense

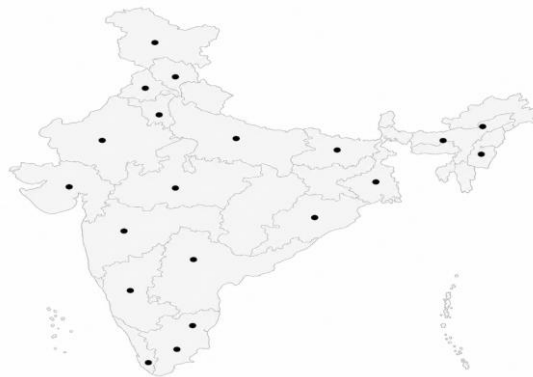
About Nestle India

Nestle India was established in 1912 and has been nourishing India for over a century. They are one of India's leading food and beverage company.

Head Office: Gurugram, Haryana

Their Purpose

To enhance quality of life and contribute to a healthier future



Key Highlights



Present in all major states and union territories



14 manufacturing facilities within india



approximately over 7000 employees



Working with over 50000 farmers

Nestle's Reach Within India

North India	West India	South India	East India	North East India	Portfolio
Strong presense in Punjab Haryana, Rajasthan, UP	Manufacturing units in Gujarat and Maharashtra	Manufacturing units in Karnatka, Tamil nadu, Andhra pradesh	Manufacturing units in West bengal and Odisha	Growing distribution network in all North East states	Wide range of products like Milk
Strong distribution network across region	Extensive reach across urban and rural areas	Deep market presentation across the region	Expanding the presense across eastern states	Focus on increasing accessibility and availability of products	Chocolates Coffee and more

Nestle India is committed to bringing the goodness of food to every indian household while creating value for their stakeholders and communities.



Head Office in Gurugram, Haryana

Nestlé has established one of the most extensive global food and beverage networks, operating in 186 countries with more than 340 manufacturing facilities and a workforce of approximately 275,000 employees. Headquartered in Vevey, Switzerland, the company has built a diversified portfolio of over 10,000 products and brands spanning coffee, dairy, nutrition, confectionery, beverages, pet care, and prepared dishes. Its strong presence across North America, Europe, Asia, Africa, the Middle East, and South America enables it to maintain market leadership through innovation, sustainability, and an extensive distribution network.

In India, Nestlé has been operating since 1912 and has developed a significant nationwide footprint. The company operates 14 manufacturing facilities, serves customers across all major states and union territories, employs over 7,000 people, and works closely with more than 50,000 farmers to strengthen its supply chain. Its manufacturing and distribution network spans North, West, South, East, and North-East India, ensuring deep market penetration in both urban and rural regions. With a broad portfolio that includes milk products, coffee, chocolates, beverages, and nutrition products, Nestlé India continues to focus on improving accessibility, supporting local communities, and creating long-term value through sustainable growth, innovation, and operational excellence. Nestlé's strong global presence and extensive operations in India demonstrate its commitment to sustainable growth, market leadership, operational excellence, and delivering long-term value through innovation, quality products, and an efficient distribution network.

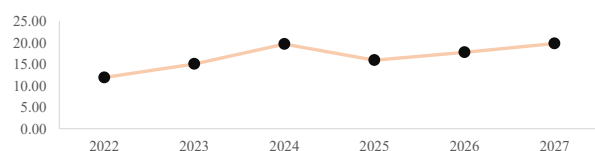
Financial Statement Forecast Yearly

Particulars (In Crores)	2022	2023	2024	2025	2026	2027	Trendline Representation
Sales	16,897	19,126	24,394	20,202	23,155	25,572	
Sales Growth %	N/A	13.19%	27.54%	-17.18%	14.62%	10.44%	
Cogs	9,596	9,886	13,145	11,000	12,838	13,861	
% of Sales	56.79%	51.69%	53.89%	54.45%	55.44%	54.20%	
Gross Profit	7,301	9,240	11,249	9,202	10,317	11,711	
GP Margin	43.21%	48.31%	46.11%	45.55%	44.56%	45.80%	
Other Expenses	3,595	4,769	5,406	4,430	5,010	5,773	
% of Sales	21.27%	24.93%	22.16%	21.93%	21.64%	22.57%	
EBITDA	3,706	4,471	5,843	4,772	5,307	5,938	
EBITDA Margin	21.93%	23.38%	23.95%	23.62%	22.92%	23.22%	
D & A	403	429	568	540	699	616	
% of Sales	2.39%	2.24%	2.33%	2.67%	3.02%	2.41%	
EBIT	3,303	4,042	5,275	4,232	4,608	5,323	
EBIT Margin	19.55%	21.13%	21.62%	20.95%	19.90%	20.81%	
Interest	155	119	145	136	158	161	
PBT	3,148	3,923	5,130	4,096	4,450	5,162	
% of Sales	18.63%	20.51%	21.03%	20.28%	19.22%	20.19%	
Tax	850	1,020	1,334	1,024	1,024	1,342	
Tax Rate	27.00%	26.00%	26.00%	25.00%	23.00%	26.00%	
PAT	2,298	2,903	3,796	3,072	3,427	3,820	
PAT Margin	13.60%	15.18%	15.56%	15.21%	14.80%	14.94%	

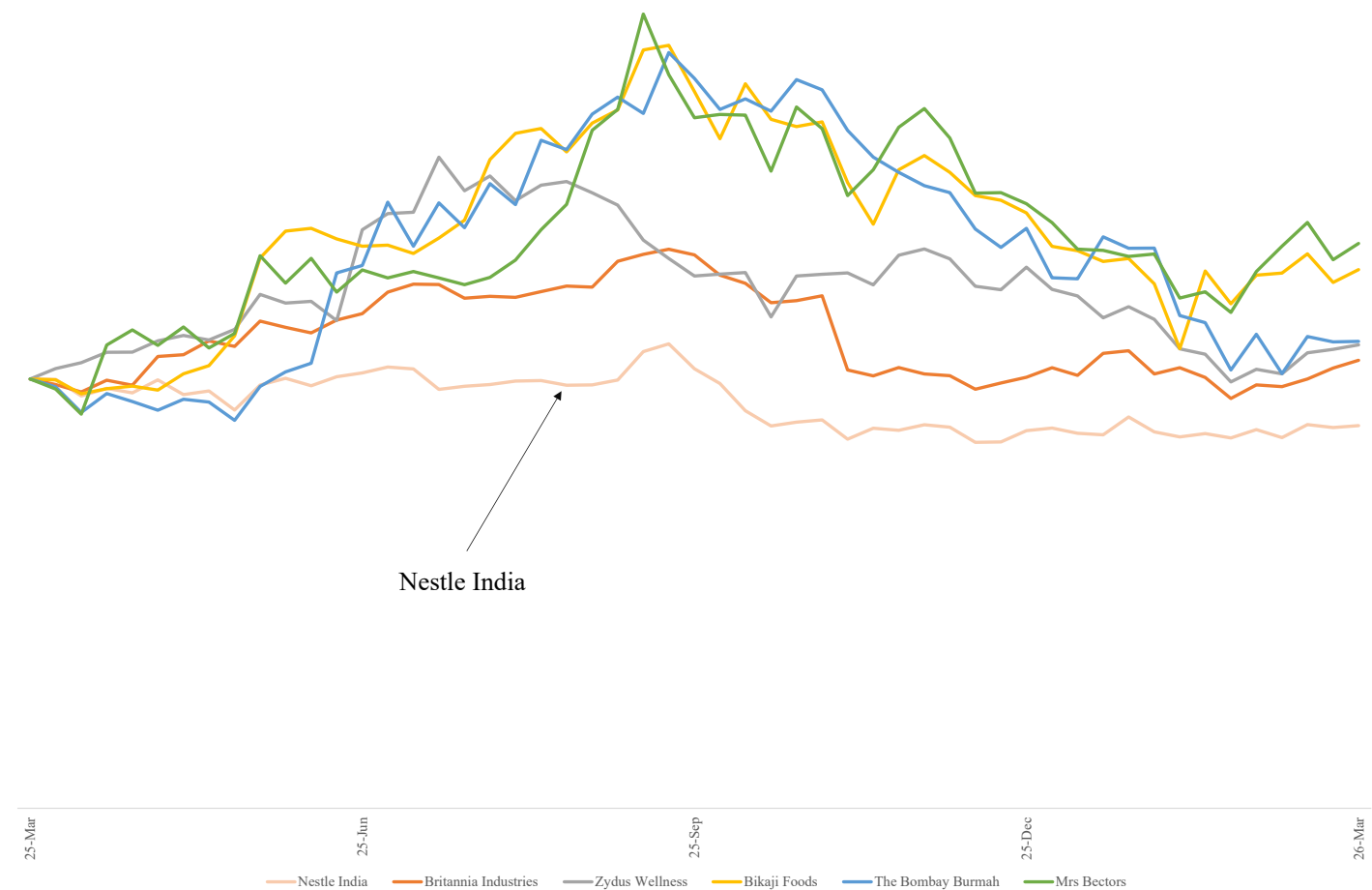
Financial Statement Forecast Quarterly

Particulars (In Crores)	Jun-25 Quarter 1	Sep-25 Quarter 2	Dec-25 Quarter 3	Mar-26 Quarter 4	Jun-26 Quarter 1	Sep-26 Quarter 2	Dec-26 Quarter 3	Mar-27 Quarter 4	Average
Sales	5,096	5,644	5,667	6,748	5,628	6,233	6,259	7,452	25.00%
% of 2026 Yearly Rev	22.01%	24.37%	24.47%	29.14%	22.01%	24.37%	24.47%	29.14%	
Cogs	1,792	2,012	1,973	2,205	1,979	2,222	2,179	2,435	34.58%
% of Sales	35.17%	35.65%	34.81%	32.67%	35.17%	35.65%	34.81%	32.67%	
Gross Profit	3,304	3,632	3,694	4,543	3,649	4,011	4,080	5,017	65.42%
GP Margin	64.83%	64.35%	65.19%	67.33%	64.83%	64.35%	65.19%	67.33%	
Other Expenses	404	419	467	383	447	463	515	423	7.32%
% of Sales	7.94%	7.43%	8.24%	5.68%	7.94%	7.43%	8.24%	5.68%	
EBITDA	2,899	3,213	3,228	4,160	3,202	3,548	3,565	4,594	58.11%
EBITDA Margin	56.90%	56.92%	56.96%	61.65%	56.90%	56.92%	56.96%	61.65%	
D & A	157	163	174	205	173	180	192	226	3.02%
% of Sales	3.08%	2.89%	3.07%	3.04%	3.08%	2.89%	3.07%	3.04%	
EBIT	2,742	3,050	3,054	3,955	3,029	3,368	3,372	4,368	55.09%
EBIT Margin	53.81%	54.03%	53.89%	58.61%	53.81%	54.03%	53.89%	58.61%	
Interest	47	46	28	37	52	51	31	41	N/A
PBT	2,695	3,004	3,026	3,918	2,977	3,317	3,342	4,327	54.39%
% of Sales	52.89%	53.22%	53.39%	58.06%	52.89%	53.22%	53.39%	58.06%	
Tax	728	811	393	1,019	804	896	434	1,125	23.25%
Tax Rate	27.00%	27.00%	13.00%	26.00%	27.00%	27.00%	13.00%	26.00%	
PAT	1,968	2,193	2,632	2,899	2,173	2,422	2,907	3,202	41.72%
PAT Margin	38.61%	38.85%	46.45%	42.97%	38.61%	38.85%	46.45%	42.97%	

Earnings per Share Actual / Forecast



The financial statement forecast suggests that Nestlé India is well positioned to achieve sustainable growth over the forecast period. Revenue is projected to increase from ₹23,155 crore in 2026 to ₹25,572 crore in 2027, supported by stable sales growth and effective cost management. Profitability is expected to be strong, with PAT rising to ₹3,820 crore while maintaining healthy operating and net profit margins. Although minor fluctuations are anticipated in gross, EBITDA, EBIT margins, the overall financial outlook remains positive. These projections indicate that the company is likely to continue generating consistent earnings, strengthening shareholder value, and maintaining long-term financial stability.



The indexed performance analysis provides a comparative assessment of shareholder returns by measuring the relative movement in stock prices from a common base value of 100, allowing differences in absolute share prices to be eliminated and enabling a meaningful comparison across companies of different sizes and valuations. The analysis indicates that the selected companies experienced varying levels of market performance throughout the observation period, reflecting differences in investor expectations, earnings growth, business expansion strategies, valuation multiples, and overall market sentiment. Among the peer group, Mrs. Bectors Food Specialities delivered the strongest overall performance, concluding the period with an indexed value of approximately 131.60, representing a gain of nearly 31.6% from the base period. This performance suggests that investors consistently rewarded the company's growth trajectory and earnings potential despite fluctuations experienced during the period. Bikaji Foods International also demonstrated strong market performance by ending with an indexed value of approximately 125.49, generating a return of around 25.5%, making it the second-best performer within the peer group. The sustained appreciation in its indexed value reflects positive market confidence supported by expansion opportunities and improving business fundamentals. The Bombay Burmah Trading Corporation recorded an indexed value of approximately 108.79, translating into a cumulative gain of about 8.8%, while Zydus Wellness concluded the period with an indexed value close to 107.98, representing a gain of approximately 8.0%. Both companies generated positive returns despite experiencing periods of volatility, indicating that investors maintained confidence in their long-term prospects even though short-term market movements were influenced by broader economic conditions and company-specific developments. Britannia Industries closed the observation period with an indexed value of around 104.37, producing a relatively modest gain of approximately 4.4%. Although the overall return was lower than several peers, the company's performance remained comparatively stable throughout much of the period, highlighting its defensive characteristics and lower sensitivity to sharp market fluctuations. In contrast, Nestlé India concluded the analysis period with an indexed value of approximately 89.14, representing a decline of nearly 10.9% from the initial base value. This made Nestlé India the weakest performer within the selected peer group in terms of indexed stock price appreciation during the observed timeframe. However, the lower indexed return should not be interpreted as a deterioration in business quality, as stock price performance often reflects changes in valuation expectations, market sentiment, and investor positioning rather than operational performance alone. Throughout the analysis period, several companies experienced temporary declines followed by recoveries, demonstrating that equity markets continuously adjust expectations in response to financial results, macroeconomic developments, inflationary trends, consumer demand, commodity price movements, and changing investment preferences. The comparison further illustrates that companies with stronger short-term market momentum outperformed more mature businesses whose valuations were already trading at premium levels before the beginning of the observation period. Since the analysis normalizes all companies to the same starting value, the resulting comparison highlights only the relative growth in shareholder wealth and eliminates distortions created by differences in nominal share prices. Consequently, the indexed performance provides a clearer understanding of comparative investment outcomes over time. The results also demonstrate that higher historical market returns do not necessarily imply lower investment risk, nor do lower returns automatically indicate weaker long-term investment quality. Instead, the observed performance reflects how market participants reassessed each company's future earnings potential and growth expectations during the selected period. Companies exhibiting stronger appreciation generally benefited from higher expected earnings growth, improving profitability, or favourable market sentiment, whereas companies with weaker indexed performance may have experienced valuation moderation despite maintaining fundamentally sound business operations. The ranking based on indexed performance places Mrs. Bectors Food Specialities first, followed by Bikaji Foods International, The Bombay Burmah Trading Corporation, Zydus Wellness, Britannia Industries, and finally Nestlé India. This ranking illustrates that investor returns differed significantly across the selected FMCG and consumer-focused companies, reinforcing the importance of comparing investments on a normalized basis rather than relying solely on absolute share price movements. The analysis further highlights that market performance is dynamic and influenced by both company-specific factors and broader economic conditions, resulting in periods of both appreciation and correction throughout the observation horizon. While some companies generated substantial cumulative gains, others displayed relatively stable movements, suggesting different risk-return characteristics across the peer group. The indexed comparison therefore serves as an effective tool for evaluating historical market performance, identifying relative outperformers and underperformers, and understanding how investor wealth evolved over the selected timeframe. It also complements other analytical techniques by providing a visual and quantitative measure of comparative stock performance that can be interpreted alongside financial statement analysis, ratio analysis, valuation methodologies, and risk assessment. Overall, the indexed performance analysis demonstrates that shareholder returns were not uniform across the selected companies, with high-growth businesses delivering stronger market appreciation while more mature companies generated comparatively modest or negative indexed returns. These findings provide valuable context for interpreting historical market behaviour and reinforce the importance of combining price performance analysis with broader fundamental evaluation before drawing investment conclusions, ensuring that historical stock returns are considered as one component of a comprehensive assessment rather than the sole indicator of long-term investment attractiveness. Furthermore, the indexed performance analysis reinforces that historical stock price movements should be interpreted as an indicator of relative market performance rather than a definitive measure of future investment outcomes.

Ratio Analysis

Years	2022	2023	2024	2025	2026
Liquidity Ratios					
Current Ratio	76.76%	76.76%	70.97%	63.98%	76.95%
Quick Ratio	18.20%	18.20%	15.77%	5.91%	21.95%
Cash Ratio	15.13%	15.13%	11.38%	1.24%	17.63%

Profitability Ratios					
EBITDA Margin	21.93%	23.38%	23.95%	23.62%	22.92%
EBIT Margin	19.55%	21.13%	21.62%	20.95%	19.90%
Net Profit Margin	13.60%	15.18%	15.56%	15.21%	14.80%
ROE	26.08%	29.51%	32.73%	20.60%	18.18%
ROCE	121.12%	148.22%	143.38%	92.95%	80.15%
ROA	26.70%	32.33%	38.93%	26.89%	26.69%

Efficiency Ratios					
Asset Turnover	1.96x	2.13x	2.50x	1.77x	1.80x
Inventory Turnover	5.45x	5.13x	6.54x	4.45x	4.74x
Inventory Days	66.98	71.22	55.79	81.94	77.03
Receivable Turnover	88.01x	77.75x	73.59x	58.39x	140.76x
Receivable Days	4.15	4.69	4.96	6.25	2.59
Payable Turnover	4.96x	4.66x	5.33x	4.05x	4.44x
Payable Days	73.58	78.31	68.49	90.19	82.22
Cash Conversion Cycle	-2.45	-2.39	-7.74	-1.99	-2.60

Leverage Ratios					
Debt / Equity	0.11x	0.11x	0.10x	0.28x	0.08x
Debt / EBITDA	0.07x	0.06x	0.06x	0.24x	0.08x
Net Debt / EBITDA	-0.18x	-0.15x	-0.07x	0.22x	-0.17x
Interest Coverage	21.31x	33.97x	36.38x	31.12x	29.16x

Valuation Ratios					
P / E	72.92x	65.44x	64.45x	70.98x	67.04x
EV / EBITDA	45.04x	42.34x	41.80x	45.92x	43.12x
EV / EBIT	50.53x	46.83x	46.30x	51.78x	49.66x
P / B	68.15x	77.26x	73.25x	52.97x	43.27x

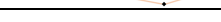
Discounted Cash Flow

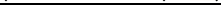
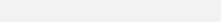
Particulars	2026	2027	2028	2029	2030
EBIT	4,608	5,323	5,878	6,492	7,170
Tax Rate	26.00%	26.00%	26.00%	26.00%	26.00%
EBIT (1 - T)	3,410	3,939	4,350	4,804	5,306
Reinvestment Rate	52.93%	47.25%	41.57%	35.89%	30.21%
FCFF	1,605	2,078	2,542	3,080	3,703
Mid Year Convention	N/A	0.5	1.5	2.5	3.5
Discounting Factor	N/A	0.942	0.836	0.742	0.658
PV OF FCFF	N/A	1,957	2,125	2,285	2,438

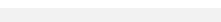
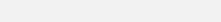
Expected Growth	29.18%
Terminal Growth	5.38%
WACC	12.69%

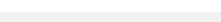
Calc. of Terminal Value	
FCFF (N +1)	5,283
WACC	12.69%
Terminal Growth Rate	5.38%
Terminal Value	72,278
Share Price	1,191.30
Discount / Premium	3.23x

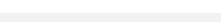
Calc. of Equity	
PV of FCFF	11,193
PV of TV	42,222
Value of OA	53,416
Add: Cash	1,341
Less: Debt	444
Value of EQ	54,313
No. of Shares	192.83
Value per Share	281.66

From 2022 to 2026		
Trendline	Mean	Median
	73.08%	76.76%
	16.01%	18.20%
	12.10%	15.13%

	23.16%	23.38%
	20.63%	20.95%
	14.87%	15.18%
	25.42%	26.08%
	117.17%	121.12%
	30.31%	26.89%

	2.03x	1.96x
	5.26x	5.13x
	70.59x	71.22x
	87.70x	77.75x
	4.53x	4.69x
	4.69x	4.66x
	78.56x	78.31x
	-3.44x	-2.45x

	0.14x	0.11x
	0.10x	0.07x
	-0.07x	-0.15x
	30.39x	31.12x

	68.17x	67.04x
	43.64x	43.12x
	49.02x	49.66x
	62.98x	68.15x

Sensitivity Analysis (Terminal Value)			
	11.00%	12.75%	13.00%
4.00%	75,467	60,374	58,697
5.38%	93,998	71,679	69,327
6.00%	105,654	78,262	75,467
7.00%	132,068	91,873	88,045

Sensitivity Analysis (Value of Operating Assets)			
	11.00%	12.75%	13.00%
4.00%	58,830	46,360	44,979
5.38%	70,417	52,948	51,112
6.00%	77,704	56,784	54,655
7.00%	94,219	64,716	61,912

Sensitivity Analysis (Equity Value per Share)			
	11.00%	12.75%	13.00%
4.00%	291.32	245.60	240.52
5.38%	347.46	279.85	272.72
6.00%	382.77	299.79	291.32
7.00%	462.79	341.02	329.43

Ratio analysis indicates strong profitability, operational efficiency, and financial stability, highlighting Nestlé India's robust business fundamentals. Dcf indicates overvaluation.

India's GDP Growth Estimation

In Lakh Crores	2023	2024	2025	2026	2027	Estimation of GDP (According to Analysts)	
Agriculture	47.56	53.08	57.95	63.59	67.09	RBI	6.60%
% of GDP	17.99%	18.01%	17.93%	18.20%	18.03%	World Bank	6.60%
Mining	5.1	5.78	6.4	6.91	7.30	IMF	6.40%
% of GDP	1.93%	1.96%	1.98%	1.98%	1.96%	OECD	6.40%
Manufacturing	40.18	44.9	49.25	53.68	56.77	ADB	6.70%
% of GDP	15.20%	15.23%	15.24%	15.36%	15.26%	S & P Global Ratings	7.00%
Electricity, Gas.....	6.19	6.87	7.42	8	8.61	Moody's Analytics	6.50%
% of GDP	2.34%	2.33%	2.30%	2.29%	2.31%	Fitch Ratings	6.50%
Construction	15.36	16.93	18.91	20.82	21.73	Goldman Sachs	6.50%
% of GDP	5.81%	5.74%	5.85%	5.96%	5.84%	Morgan Stanley	6.20%
Hotel, Trading	46.58	52.32	57.62	62.64	66.16	Nomura	6.30%
% of GDP	17.62%	17.75%	17.83%	17.92%	17.78%	Barclays	6.40%
Financial Assistance	50.76	56.53	62.14	67.89	71.66	HSBC	6.40%
% of GDP	19.20%	19.18%	19.23%	19.43%	19.26%	Citi Research	6.50%
Public Administration	25.91	28.75	31.85	34.08	36.43	Bank of America	6.50%
% of GDP	9.80%	9.75%	9.86%	9.75%	9.79%	UBS	6.30%
GVA	237.64	265.16	291.54	317.61	335.76	JP Morgan	6.50%
Taxes	31.46	34.53	36.58	39.09	42.90	CRISIL	6.50%
% of GDP	11.90%	11.71%	11.32%	11.19%	11.53%	ICRA	6.20%
Subsidies	4.72	4.92	4.99	7.23	6.57	EY India	6.50%
GDP	264.38	294.77	323.13	349.47	372.09	Deloitte India	6.50%
						KPMG India	6.40%

Average Range	6.47%
---------------	-------

India's GDP is projected to grow steadily from ₹264.38 lakh crore in 2023 to ₹372.09 lakh crore by 2027, supported by balanced sectoral expansion and an average analyst growth estimate of 6.47%

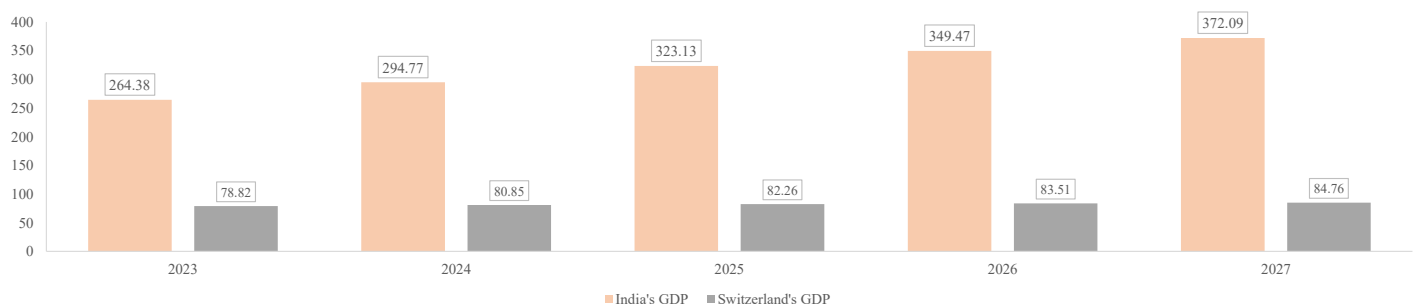
Switzerland's GDP Growth Estimation

In Lakh Crores	2023	2024	2025	2026	2027	Estimation of GDP (According to Analysts)	
Agriculture	0.53	0.54	0.55	0.56	0.57	SECO	1.70%
% of GDP	0.67%	0.67%	0.67%	0.67%	0.67%	SNB	1.50%
Manufacturing and Mining	14.85	15.32	15.52	15.69	15.99	IMF	1.50%
% of GDP	18.84%	18.95%	18.87%	18.79%	18.86%	OECD	1.50%
Construction	4.05	4.18	4.29	4.37	4.40	KOF Swiss Economic Institute	1.70%
% of GDP	5.14%	5.17%	5.22%	5.23%	5.19%	UBS	1.60%
Hotel, Trading	16.23	16.68	16.91	17.11	17.43	Julius Baer	1.40%
% of GDP	20.59%	20.63%	20.56%	20.49%	20.57%	Pictet Group	1.50%
Information and C..	4.49	4.59	4.69	4.78	4.83	Credit Suisse Research	1.50%
% of GDP	5.70%	5.68%	5.70%	5.72%	5.70%	Goldman Sachs	1.50%
Financial Assistance	8.3	8.53	8.7	8.85	8.95	Morgan Stanley	1.40%
% of GDP	10.53%	10.55%	10.58%	10.60%	10.56%	J.P Morgan	1.50%
Real Estate Activities	9.51	9.7	9.87	10.02	10.18	Barclays	1.40%
% of GDP	12.07%	12.00%	12.00%	12.00%	12.02%	Citi Research	1.50%
Technical Services	6.8	6.96	7.1	7.23	7.32	Bank of America	1.50%
% of GDP	8.63%	8.61%	8.63%	8.66%	8.63%	Nomura	1.40%
Public Administration	11.99	12.25	12.5	12.73	12.88	Moody's Analytics	1.50%
% of GDP	15.21%	15.15%	15.20%	15.24%	15.20%	S & P Global Ratings	1.50%
GVA	76.75	78.75	80.13	81.34	82.55	Fitch Ratings	1.40%
Net Tax	2.07	2.1	2.13	2.17	2.21	World Bank	1.50%
GDP	78.82	80.85	82.26	83.51	84.76	European Commission	1.40%
						Consensus Economics	1.50%

Average Range	1.50%
---------------	-------

Switzerland's GDP is forecast to increase from ₹78.82 lakh crore in 2023 to ₹84.76 lakh crore by 2027, reflecting stable, mature economic growth with an average analyst estimate of 1.50% annually.

GDP Forecast (India and Switzerland)



The GDP forecasts indicate stronger economic momentum in India than Switzerland over the forecast period. India's higher growth outlook supports greater consumption, manufacturing expansion, and investment opportunities, whereas Switzerland offers steady, low-risk economic stability. These macroeconomic assumptions provide a reasonable foundation for Nestlé's long-term financial forecasting and valuation.

1. FY2026 Actual Performance Summary

Nestlé India delivered a strong operational and financial performance in FY2025–26, recording 14.9% year-on-year sales growth. The company achieved market share gains across its key power brands, reflecting strong consumer demand and effective execution across categories. Maggi Noodles retained its leadership position in the instant noodles category, while KitKat and Nescafé continued to strengthen their market positions through innovation, premiumisation, and wider distribution.

2. Segment-Level Performance

Confectionery
The Confectionery segment reported high double-digit growth in both value and volume during FY2026. Growth was primarily driven by wider distribution, the expansion of the Visicoolers Freshness Programme, and successful product innovations including KitKat Pops, Milkybar Butterscotch, Munch Max Crunchies, and premium variants of KitKat. These initiatives strengthened the company's presence in both mass and premium confectionery categories.

Powdered and Liquid Beverages

The Powdered and Liquid Beverages segment delivered another year of high double-digit growth, supported by rising coffee consumption in India and continued premiumisation across the Nescafé portfolio. Increasing consumer preference for premium coffee products remained a significant growth driver for the segment.

Prepared Dishes and Cooking Aids

Prepared Dishes and Cooking Aids recorded strong volume-led growth during the year. Product innovations such as Maggi Double Masala and the expansion of the Maggi Spicy Range contributed significantly to category growth. Additionally, the pet food business within this segment continued to perform strongly, achieving high double-digit growth.

Milk Products and Nutrition

The Milk Products and Nutrition segment maintained steady and resilient growth despite a challenging input cost environment. Performance was supported by new pack-size introductions, strong demand for Everyday Dairy Whitener in South and East India, and continued innovation in infant nutrition products, including NAN ExcellaPro and the Cerelac No Refined Sugar range.

3. Channel and Distribution Trends

Nestlé India continued to strengthen its omnichannel distribution strategy during FY2026. Quick commerce, e-commerce, and modern trade continued to increase their contribution to overall sales, although general trade remained the company's largest distribution channel. The company also expanded its rural footprint to approximately 216,000 villages. Management shifted its strategic focus from simply increasing outlet numbers to improving execution quality, enhancing retail productivity, and strengthening in-store availability across rural markets.

4. Global Macro Backdrop

According to the IMF's January 2026 World Economic Outlook (WEO), global GDP growth is projected at 3.3% in 2026 and 3.2% in 2027, representing a slight upward revision from previous estimates. While global inflation continues to moderate, management highlighted that the operating environment remains uncertain due to intermittent increases in energy, freight, and packaging costs. Furthermore, geopolitical uncertainty remains elevated, with McKinsey's geopolitical risk index increasing to 72% from 51% in December 2025, creating potential risks for global supply chains and commodity markets.

5. Indian Economic Overview

India's macroeconomic environment remained favourable during FY2026, providing a supportive backdrop for consumer demand. Real GDP growth for FY2026 is estimated at approximately 7.4%, according to the Economic Survey 2025–26. Private consumption increased to 61.5% of GDP, the highest level since FY2011–12, indicating resilient consumer spending. Average Consumer Price Inflation (CPI) moderated to approximately 1.7% during April–December 2025, although food inflation continues to remain a short-term concern.

Management identified the following factors as key variables influencing FY2027 performance:

- Monsoon performance and food price inflation
- Global commodity price volatility
- Private investment and credit growth
- Consistency in government capital expenditure

6. Commodity Outlook

Commodity	Outlook	Driver	Overall, declining coffee and cocoa prices are expected to support margins in the Beverages and Confectionery segments, while elevated milk and wheat prices could increase cost pressures for the Milk Products & Nutrition and Prepared Dishes & Cooking Aids segments.
Coffee	Trending Lower	Improved Vietnam crop and upcoming brazil harvest	
Cocoa	Subdued	Better global supply and moderated demand	
Sugar	Stable	Balanced market conditions	
Edible Oil	Firm / Rising	Higher crudeoil prices and biodiesel demand	
Wheat	Under Pressure	Lower crop yeild and quality due to unseasonal rainfall	
Milk	Firm / Elevated	Expected to remain elevated during the summer lean season	

7. GST Impact

Government amendments to GST rates had an overall positive impact on consumer demand by improving product affordability. Nestlé India passed these tax benefits on to consumers across multiple product categories, helping stimulate consumption while partially offsetting inflationary pressures arising from higher commodity costs.

8. Indian FMCG & Food Processing Sector Outlook

The demand environment during FY2026 became more balanced compared to the previous period of elevated inflation. Urban markets continued to witness premiumisation, while consumers in price-sensitive markets remained focused on value, highlighting the importance of an effective price-pack architecture. The Indian food processing industry also continues to benefit from increasing formalisation, improvements in cold-chain infrastructure, and rising consumer demand for branded and value-added food products. However, the sector remains exposed to risks from monsoon variability and fluctuations in agricultural commodity prices.

9. Assumption Based on Analysis

Key Driver	Management Commentary	Appropriate Assumption
Revenue Growth	FY 26 sales grew 14.9% supported by broad based growth across all segments	10.44% flat growth rate assumed by considering last 10 years
Commodity Prices	Coffee and cocoa price assumed to soften while milk and wheat prices may remain up	GP and EBITDA margins should improve modestly
Macro E. Enviornment	India's GDP estimated to grow around 7.4% with rising private consumption	Steady volume growth with gradual premiumisation

Analyst's	Recommendation	Target Price	% Change	Notes
ICICI Securities	Buy	1650	38.50%	Strong earnings growth
ICICI Direct	Buy	1615	35.57%	Robust demand / improved margins
Axis Direct	Buy	1640	37.66%	Distribution expansion
Motilal Oswal	Neutral	1400	17.52%	Premium valuation limitation
BOB Capital Markets	Hold	1538	29.10%	Premium valuation limitation
Deven Choksey Research	Hold	1404	17.85%	Stable demand and earnings
Geojit BNP Paribas	Buy	1470	23.39%	Strong brand and long term growth
Our Analysis	Sell	935.13	-21.50%	Premium valuation

Conclusion

This equity research report aimed to evaluate Nestlé India Limited from both a fundamental and valuation perspective by integrating financial statement analysis, macroeconomic assessment, ratio analysis, forecasting, Discounted Cash Flow (DCF) valuation, relative valuation, competitive positioning, sensitivity analysis, and scenario analysis into a comprehensive financial model. Rather than relying on a single analytical technique, the report combines multiple approaches to assess the company's historical performance, future growth prospects, financial strength, and intrinsic value. This integrated methodology provides a more balanced and reliable investment assessment by considering both the quality of the underlying business and the price currently assigned to it by the market. The historical analysis demonstrates that Nestlé India has consistently delivered strong financial performance despite changes in accounting periods, inflationary pressures, and volatility in key raw material prices such as milk, coffee, cocoa, wheat, edible oils, and packaging materials. Revenue increased steadily from ₹16,897 crore in FY22 to ₹23,155 crore in FY26, reflecting sustained consumer demand and the company's ability to strengthen its presence across multiple product categories. Although reported revenue growth appeared volatile during the transition to a March financial year-end, the underlying operating performance remained resilient. Gross margins, EBITDA margins, and net profit margins remained relatively stable throughout the historical period, indicating that management successfully balanced pricing decisions with cost pressures without materially affecting demand. These results demonstrate the strength of Nestlé India's brands, pricing power, and operational discipline.

The ratio analysis further reinforces these conclusions. Profitability ratios remained consistently strong, reflecting efficient cost management and the company's ability to generate attractive returns despite operating in a highly competitive FMCG industry. Return on Equity, Return on Capital Employed, and Return on Assets remained well above industry averages, demonstrating effective utilisation of shareholder capital and operational assets. Liquidity ratios remained adequate throughout the period, while the company maintained extremely low financial leverage, supported by strong interest coverage and a healthy cash position. Furthermore, a negative cash conversion cycle indicates that Nestlé India receives cash from customers before payments become due to suppliers, providing a structural working capital advantage that enhances cash generation. Collectively, these indicators confirm that the company possesses excellent financial quality, operational efficiency, and long-term financial stability. The macroeconomic analysis also provides an important foundation for the financial forecasts. India is expected to remain one of the world's fastest-growing major economies, with GDP projected to expand at an average rate of approximately 6.5% over the forecast period. Rising disposable incomes, increasing urbanisation, favourable demographics, expanding middle-class consumption, premiumisation of food products, and growing penetration of organised retail continue to support long-term demand for packaged food and beverages. Since Nestlé India generates almost all of its revenue domestically, sustained economic growth directly supports higher consumption across its major product categories. Switzerland's economy, while expected to grow at a slower pace of approximately 1.5% annually, remains equally relevant because it is home to Nestlé S.A., the parent company. Stable economic conditions in Switzerland support continued investment in research and development, innovation, sustainability initiatives, global procurement, and technology transfer, all of which indirectly strengthen Nestlé India's long-term competitive position. Therefore, analysing both economies provides a balanced understanding of the demand drivers influencing Nestlé India's future performance.

The forecasting assumptions adopted throughout this model were intentionally conservative and supported by historical evidence rather than optimistic projections. Revenue growth assumptions were based on Nestlé India's long-term historical performance, management commentary, industry outlook, and macroeconomic expectations instead of extrapolating one exceptionally strong financial year. Consequently, FY2027 revenue was forecast using a growth rate of approximately 10.5%, reflecting a sustainable expansion rate rather than assuming extraordinary growth would continue indefinitely. Segment-wise revenue projections were derived using historical revenue contribution, with Milk Products contributing 38%, Prepared Dishes and Cooking Aids 31%, Confectionery 17%, and Powdered and Liquid Beverages 14% of total revenue. These assumptions recognise that Nestlé India's business mix has remained relatively stable over several years and that no structural changes are expected in the near future. Commodity outlook assumptions also remained balanced by considering softer coffee and cocoa prices while recognising that milk and wheat prices may continue to remain elevated. As a result, projected margins reflect realistic operating conditions rather than overly optimistic expectations. The use of best-case, base-case, and worst-case scenarios further strengthens the robustness of the financial model. Forecasting inevitably involves uncertainty, particularly over a five-year horizon. Instead of presenting a single deterministic forecast, the model recognises that future financial performance will depend on factors such as commodity prices, consumer demand, inflation, competitive intensity, government policies, exchange rate movements, and management execution. The base case reflects the most probable operating environment, while the best and worst cases establish realistic boundaries around future outcomes. Importantly, even under the worst-case scenario, Nestlé India remains profitable and continues generating positive free cash flow, illustrating the resilience of its business model. This scenario-based approach therefore provides investors with a clearer understanding of both potential opportunities and downside risks.

Valuation represents the most important distinction between business quality and investment attractiveness. The DCF valuation estimates intrinsic value by discounting projected free cash flows using a Weighted Average Cost of Capital of approximately 12.75% together with a terminal growth rate of 5.38%. These assumptions were selected after considering India's long-term economic outlook, inflation expectations, the company's relatively low financial risk, and the mature nature of the FMCG industry. Sensitivity analysis was also performed by varying both the discount rate and terminal growth assumptions to ensure that the valuation was not dependent upon a single set of inputs. Even under more optimistic assumptions, the company's intrinsic value remained below its prevailing market price, demonstrating that the conclusion is robust rather than driven by aggressive modelling assumptions. Relative valuation complements the DCF analysis by comparing Nestlé India with leading domestic FMCG companies including Britannia Industries, Zydus Wellness, Bikaji Foods, Bombay Burmah Trading Corporation, and Mrs. Bectors Food Specialities, as well as major global peers such as Nestlé S.A., PepsiCo, Unilever, Coca-Cola, Mondelez, Danone, and Kraft Heinz. The company commands premium valuation multiples across EV/Revenue, EV/EBITDA, and Price-to-Earnings ratios, reflecting investor confidence in its superior profitability, brand equity, and long-term growth prospects. However, the analysis also indicates that this premium exceeds what comparable companies trade at on average, suggesting that a substantial portion of future growth has already been priced into the stock. Therefore, while the premium is partly justified by the company's superior business quality, the current valuation leaves limited room for further upside unless earnings significantly outperform expectations.

The competitive positioning analysis further supports Nestlé India's long-term investment quality. The company continues to hold leadership positions across several key product categories, supported by globally recognised brands such as Maggi, Nescafé, KitKat, Cerelac, Lactogen, Milkmaid, and Everyday. Its nationwide manufacturing footprint, extensive distribution network, relationships with thousands of farmers, continuous product innovation, and backing from Nestlé S.A. create competitive advantages that are difficult for rivals to replicate. Although indexed stock performance shows that some competitors generated stronger market returns during the observation period, this primarily reflects changes in market sentiment and valuation multiples rather than deterioration in Nestlé India's operating performance. This distinction is particularly important because investment decisions should be based on both business fundamentals and valuation rather than historical share price movements alone.

In conclusion, this research finds that Nestlé India remains one of the highest-quality businesses in the Indian FMCG industry, characterised by exceptional brand strength, resilient earnings, consistent cash flow generation, superior profitability, efficient capital allocation, and a highly conservative balance sheet. The company's long-term growth prospects remain favourable, supported by India's strong economic outlook, favourable demographic trends, premiumisation of consumer spending, increasing organised retail penetration, digital commerce expansion, and continued product innovation. However, investing is not only about identifying excellent businesses but also about purchasing those businesses at reasonable valuations. The combined evidence from financial statement analysis, macroeconomic assessment, forecasting, ratio analysis, DCF valuation, relative valuation, competitive benchmarking, and sensitivity analysis indicates that the current market price already reflects much of Nestlé India's future growth potential. The blended valuation produces a target price of approximately ₹935.13 per share, implying a downside of nearly 21.5% from the prevailing market price of ₹1,191.30. Accordingly, this report assigns a Sell recommendation. This recommendation should be interpreted strictly as a valuation-driven conclusion rather than a reflection of weakening business fundamentals. Existing long-term shareholders may continue to benefit from the company's outstanding competitive advantages, but prospective investors would likely achieve a more favourable risk-return profile by waiting for a more attractive entry price that offers an adequate margin of safety.